

KSA Pharmaceutical Manufacturing — 2026 Outlook

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Localisation push + biologics wave = structural opportunity

The KSA pharma manufacturing market is sized at SAR 18B in 2026, growing 12.5% YoY. The Vision 2030 target of 40% local manufacturing for essential medicines by 2030 — currently ~32% — is the single most important demand variable. NUPCO procurement increasingly weights Saudi Made certifications in supplier selection.

Capacity expansion across the sector — SPIMACO, Tabuk, Jamjoom, Hikma KSA — is concentrated in generics + branded generics + sterile injectables. The biologics + GLP-1 + cell-and-gene wave is the structural growth opportunity. PIF's Lifera vehicle is the sovereign anchor; private-sector partnerships with multinationals (Sanofi, Pfizer, Roche) are accelerating.

Margin expansion is driven by specialty mix shift. Branded generics + sterile injectables earn 28-32% EBITDA; biosimilars and oncology specialties 32-38%. Mizan's 27.4% in 2025 puts us in the upper quartile but with clear upside as Sudair Line 8 and Jeddah oncology line commission.

MARKET 2026F

SAR 18B

+12.5% YoY

LOCAL MFG SHARE NOW

32%

vs 40% Vision 2030 target

STERILE INJ. CAPACITY KSA

~620M units/yr

+180M by 2028

PEER EBITDA RANGE

24-36%

Mizan 27.4% — top quartile

KSA pharma manufacturing market through 2028

Sized at **SAR 18B** in 2026 forecast, the market is growing at **12.5%** for the year and a projected **16.7%** in 2027 onward.

	2024A	2025A	2026F	2027F	2028F
Market size (SAR B)	14	16	18	21	24
YoY growth %	+11.5%	+14.3%	+12.5%	+16.7%	+14.3%

Structural demand drivers

Vision 2030 pharma localisation target 40% local manufacturing by 2030 (current ~32%). Saudi Made certification. NUPCO preferential procurement. GLP-1 + biosimilar demand. SFDA registration pipeline expanding.

Cyclical / near-term factors

- GLP-1 weight-loss demand: KSA market for semaglutide doubled 2024-2026.
- API import cost +6-9% YoY on logistics + INR/CNY.
- NUPCO tender cycle moving to 2-year master contracts — increases volume visibility.
- Biosimilar pipeline maturing as patent cliffs accelerate 2026-2028.

The named players in KSA pharma manufacturing

#	Player	2025 Rev (SAR M)	EBITDA %	2025 Notes
1	SPIMACO Addwaeih	2,840	30.5%	Listed KSA pharma manufacturer; broadest Saudi-made portfolio.
2	Julphar (UAE)	2,120	24.0%	UAE; regional generics scale; insulin capability.
3	Jamjoom Pharma	1,780	29.5%	Listed KSA; respiratory + cardio specialist.
4	Tabuk Pharmaceuticals	1,650	28.0%	Private KSA; strong generic + OTC franchise.
5	Pfizer Saudi	1,510	36.0%	Multinational; branded portfolio.
6	Hikma KSA	1,450	31.0%	Jordan parent; injectables + complex generics.
7	Sanofi KSA	1,280	35.0%	Multinational; partial local fill-finish.

Competitive dynamics — our reading

SPIMACO Addwaeih at SAR 2.84B and 30.5% EBITDA is the listed sector reference — broadest Saudi-Made portfolio. Tabuk Pharmaceuticals (private) and Jamjoom Pharma (listed) are the next tier; both 28-30% EBITDA.

Julphar (UAE) at SAR 2.12B is the closest regional peer; lower margin (24%) on broader generics mix but stronger regional reach. Hikma KSA at SAR 1.45B and 31% EBITDA is the injectables specialist.

Mizan Pharma Manufacturing at SAR 1.40B and 27.4% EBITDA is in the mid-tier by scale and upper-tier by capability. Sudair Line 8 + Jeddah oncology + GLP-1 partnership position us closer to the specialty leaders by 2028.

Multinational presence (Sanofi, Pfizer, Roche, Novartis) is concentrated in branded portfolios — different competitive set; partner more than compete for fill-finish + biosimilar capacity.

Who regulates what, and what's changing

Saudi Food & Drug Authority (SFDA) — GMP licensing, drug registration. Ministry of Industry & Mineral Resources — Saudi Made framework. NUPCO — unified procurement.

SFDA GMP licensing is rigorous; reinspections every 24 months. Mizan's 4 plants all currently certified.

Saudi Made certification programme expanded to 24 additional therapy areas in 2025; Mizan portfolio gains as we secure these.

NUPCO procurement increasingly tiers suppliers: Tier 1 (Saudi-Made + GDP-WHO) gets preferential pricing and longer contracts.

Drug Security Strategy mandates strategic stockpile contribution for essential medicines — both volume opportunity and obligation.

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Programme exposure and demand pull

Health Sector Transformation Program · Saudi Made · National Industrial Strategy · National Biotechnology Strategy · Drug Security Strategy.

Saudi Made Pharma — 40% local mfg target by 2030 (currently 32%).

National Biotechnology Strategy 2024 — biosimilars + vaccines + cell+gene therapy capability.

PIF Lifera — sovereign vehicle for pharma localisation, including biosimilar fill-finish JVs.

Drug Security Strategy — strategic stockpile and dual-sourcing requirements for essential medicines.

What could break the outlook

API supply concentration

Industry-wide. 74% of Mizan's top-50 APIs from India + China; dual-sourcing programme is the answer.

GLP-1 demand outpacing supply

Semaglutide + tirzepatide demand has doubled. KSA importers face allocation pressure from global parents. Local fill-finish is the structural answer.

PIF Lifera partnership competition

PIF Lifera will partner with private manufacturers on biosimilars; the partnership scope vs Mizan/SPIMACO/others is fluid.

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What this means for our portfolio

Sudair Line 8 commissioning Q4-2026 + Jeddah oncology line Q2-2027 are the keystone events for the next 24 months.

GLP-1 fill-finish partnership signed Mar-2026 positions Mizan as the first end-to-end Saudi GLP-1 platform — the cold-chain spine through Pharma Logistics is the structural advantage.

Saudi Made target of 48% by 2028 (vs 40% national) is ambitious but achievable with current pipeline.

API dual-sourcing programme is the most important risk-management initiative in the BU.